

NorthStar Insurance
Claims Process DMAIC — Project Charter

Prepared by: Simran Saran, Process Improvement Analyst

Date: May 2026

Version: 1.0 — Final

Project sponsor: Claims Director, NorthStar Insurance

Problem Statement:

NorthStar Insurance's average claims resolution time of 18 days is 2× the industry benchmark of 9 days for equivalent claim complexity. This gap is generating a measurable decline in customer satisfaction (NPS -14 points over 18 months) and an unsustainable increase in adjuster overtime costs (+22% year-over-year). The root cause has not been formally investigated, and no structured improvement initiative has been undertaken.

Business Case:

At a volume of 1,400 claims per month, each avoidable day of delay represents approximately \$47,000 in monthly adjuster overtime cost, calculated at a blended rate of \$85/hour with an estimated 30 minutes of excess handling time per claim. Closing the 9-day gap would recover an estimated \$423,000 annually in overtime alone, before accounting for customer retention impact from the NPS decline.

Customer research in the P&C insurance sector consistently links claims resolution speed to renewal rates. A 14-point NPS decline of this duration, if unaddressed, is projected to increase annual policyholder churn by 2–4%, representing material revenue risk. This project addresses both the cost and the retention dimension of the problem.

Scope:

Inscope	Out of Scope
Auto claims — intake through payment	Commercial lines claims
Home Claims - Intake through payment	Fraud investigation process
Adjuster assignment and queue management	Reinsurance reporting
Document collection and completeness process	Claims system vendor selection or replacement
Senior review and approval workflow	Policyholder-facing digital portal redesign
Finance payment processing handoff	

Team & Roles:

Role	Name / Title	Responsibility
Project Sponsor	Claims Director	Executive authority, resource approval, steering decisions
Process Owner	Intake Manager	Current-state knowledge, future-state sign-off, implementation owner
Process Improvement Lead	Simran Saran	DMAIC facilitation, analysis, artifact production, recommendations
Subject Matter Expert	Senior Adjuster × 2	Process walkthroughs, root cause validation, future-state testing
Subject Matter Expert	Finance Lead	Payment processing workflow input, financial data validation
Technical Support	IT Lead	Systems capability assessment for improvement initiatives

Timeline:

Weeks 1–2: Define + Measure

Weeks 3–4: Analyze

Weeks 5–6: Improve

Weeks 7–8: Control + Handoff

Target implementation start: Week 9. Full benefit realisation expected within 90 days of implementation go-live.

Success Criteria:

- Average claims resolution time ≤9 days within 90 days of implementation
- Rework loop rate reduced to <10% (down from current 38% baseline)
- Zero increase in claim denial rate — quality must not decrease as a result of process changes
- Adjuster SLA adherence rate of ≥85% of claims resolved within the 9-day target

Assumptions & Constraints:

- The existing claims management system can be configured to support document completeness validation and auto-routing without a full system replacement.

- Senior adjusters and the intake team are available for a minimum of 4 hours per week during the Measure and Analyze phases for process walkthroughs and data validation.
- Claims data for the 12-month period prior to project start is accessible and sufficiently complete for baseline analysis.
- The \$10,000 senior review threshold policy can be amended with Claims Director approval, no Board-level sign-off is required for operational policy changes of this type.
- This project does not have authority to approve IT development spend above \$50,000. Initiatives exceeding this threshold will require a separate business case and CFO approval.
- Implementation will occur without a freeze on incoming claims volume — the process must continue to operate during the transition.